

A grayscale photograph of a Zudio retail store interior, showing clothing racks and the brand name 'जूडिओ' (Judio) in Hindi script on the right wall. The image is dark and serves as a background for the text.

# Trent Ltd (NSE: TRENT)

## Equity Research & DCF Valuation Analysis

zudio

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February 2026

# Investment Summary

RECOMMENDATION

**HOLD**

Current Market Price

**₹3,729**

Intrinsic Value (DCF)

**₹1,375**

Upside/Downside

**-63.1%**



## Key Positives



Zudio-led structural growth opportunity



High ROCE-driven expansion strategy



Strong governance and execution track record



## Key Risks



Premium valuation limits near-term upside



Store productivity normalization risk



Fashion retail cyclical

# COMPANY OVERVIEW

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- Leading Indian apparel & lifestyle retailer
- Multi-format portfolio led by Zudio and Westside
- Integrated private-label model (design → sourcing → retail)
- Part of Tata Group ecosystem

## Key Strengths:

- Scalable store-led growth
- Strong balance sheet
- Disciplined capital allocation



# Core Market Problems

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## **Fragmented Unorganized Market**

Inconsistent quality, opaque pricing, and inefficient supply chains lead to poor customer experience.



## **Value-Conscious Consumer**

Aspirational demand meets high price sensitivity, creating a gap for affordable yet trendy fashion.

# How Trent Solve These Problems

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- **End-to-end control:** Private-label model ensures rigorous cost discipline and superior gross margins compared to peers.
- **Scale in Value Fashion:** Zudio effectively addresses the massive affordable fashion gap with standardized, rapid execution.
- **Margin Stability:** Westside provides a steady, high-margin base that insulates against volatility in the value segment.
- **ROCE-led Expansion:** Disciplined store rollout strategy focuses on return on capital, avoiding value-destructive growth.



## ANALYST INSIGHT

*"Trent converts fragmented demand into predictable cash flows."*



# Brand Portfolio Analysis

| Brand                                                                                      | Segment          | Strategic Role        |
|--------------------------------------------------------------------------------------------|------------------|-----------------------|
|  Zudio    | Value fashion    | Primary growth engine |
|  Westside | Premium mass     | Margin stabilizer     |
|  Others  | Adjacent formats | Optionality           |

**Key Insight:** *Portfolio diversification reduces earnings volatility.*

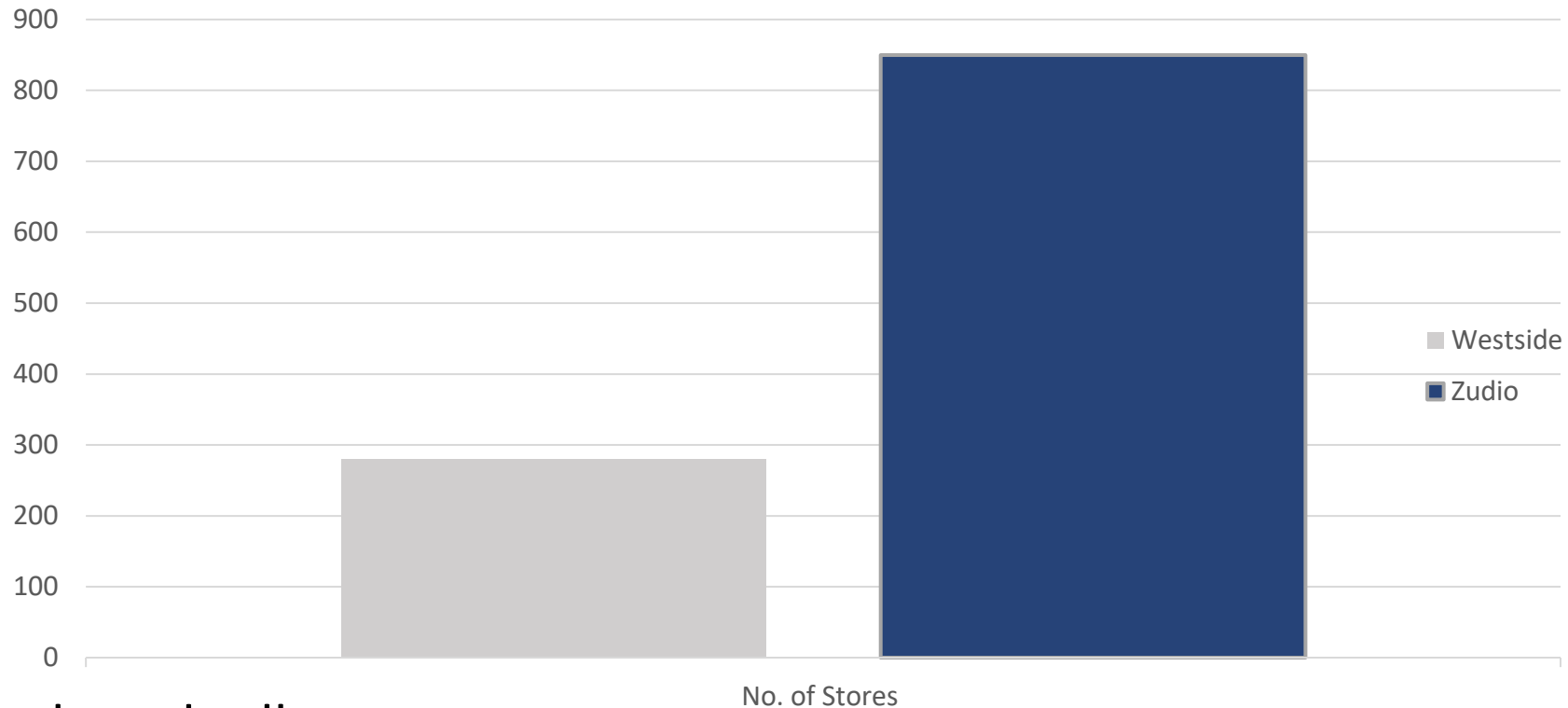
# Zudio: Key Growth Engine

- Affordable pricing aligned with Indian consumer behavior
- High inventory churn and fast store breakeven
- Rapid expansion in Tier 2 and Tier 3 cities
- Limited discounting model

**Why Zudio Works:** Aspiration monetized without premium pricing.

# Store Expansion Strategy

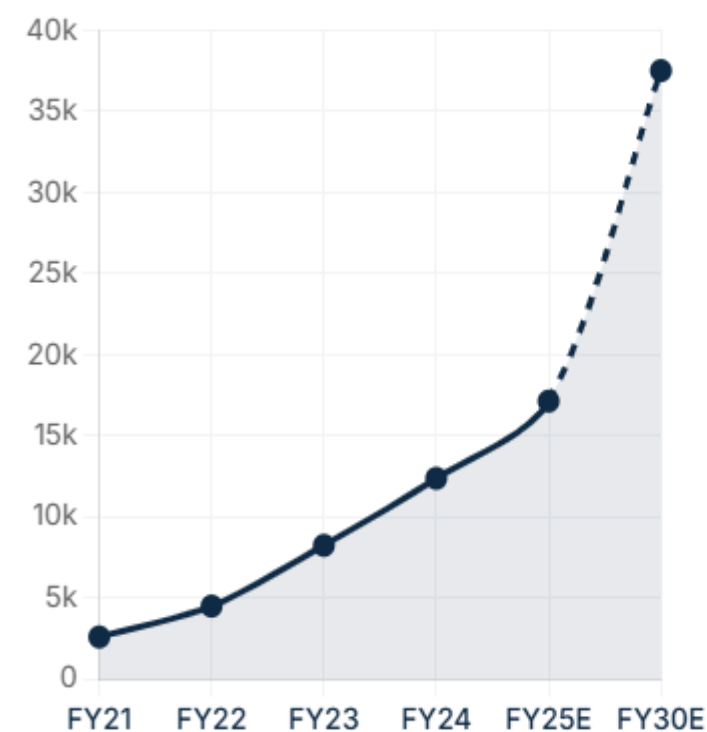
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- Cluster-based rollout strategy
- Preference for leased stores reduces capital intensity
- Focus on store-level ROCE over store count
- Short payback periods

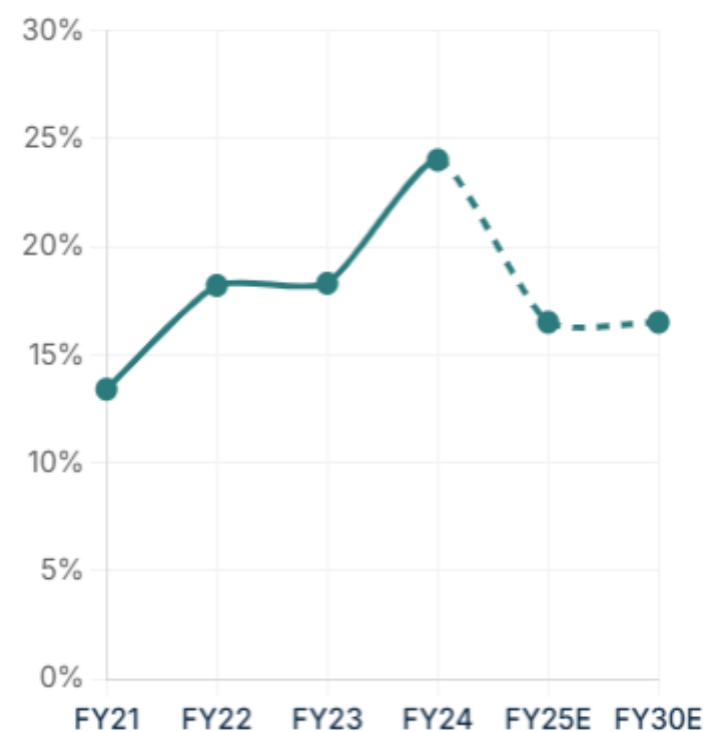


# Historical Financial Performance



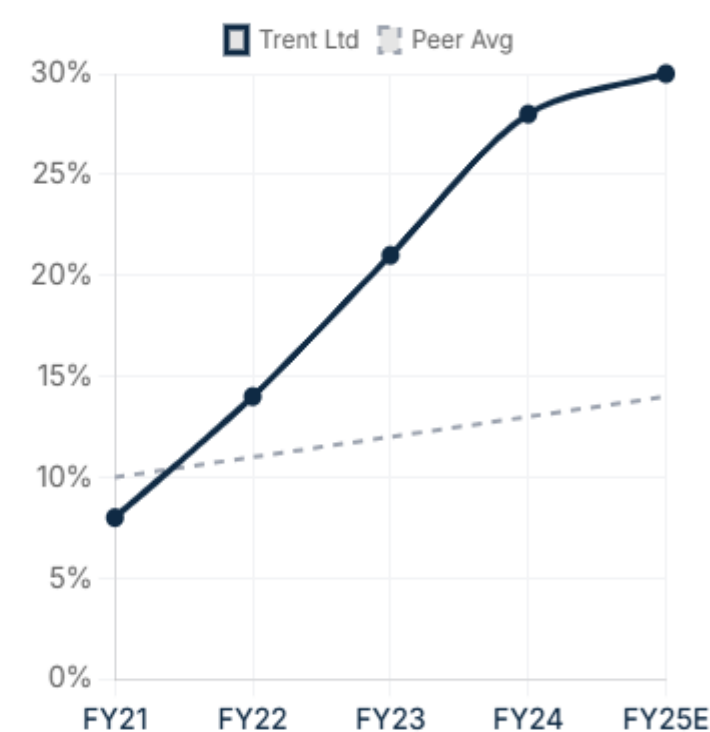
**Revenue Trajectory (₹ Cr)**

Strong store-led growth;  
CAGR 34% (FY21-25)



**EBITDA Margin (%)**

Historical peak ~24%;  
Model assumes conservative ~16.5%



**ROCE Comparison (%)**

Superior capital efficiency  
vs Industry Peers

# Business Model Economics

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- Revenue growth driven by store expansion and productivity
- Margins supported by scale and private labels
- Cash flows reinvested into high-return opportunities

## KEY INSIGHT

*"Growth is store-led, not pricing-led."*

Store  
Additions



Revenue  
Growth



EBITDA  
Expansion



Cash  
Generation



Reinvestment



Compounding

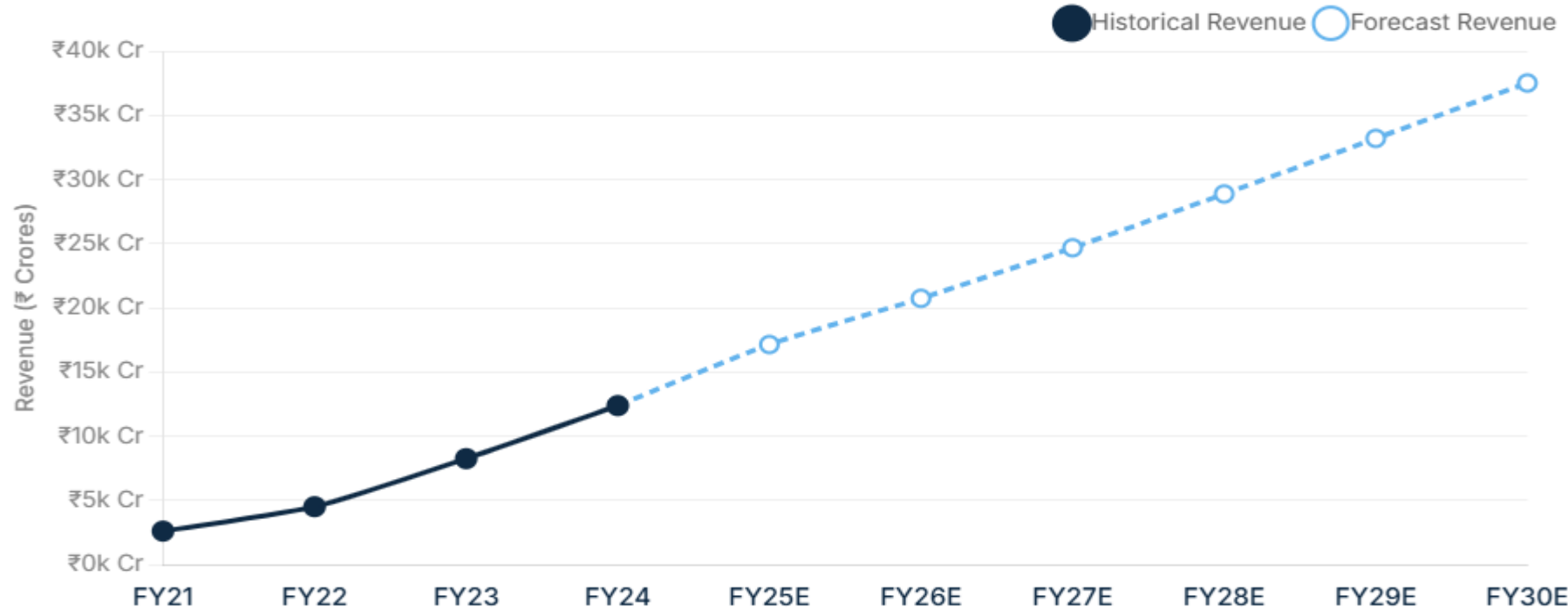
# DCF Model Overview

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- Historical financials used as base for projection accuracy
- Explicit forecast period (5-7 years) with conservative growth assumptions
- Terminal value reflects mature, steady-state business economics
- Future cash flows discounted using Weighted Average Cost of Capital (WACC)

# Revenue Assumption (DCF)



- Revenue growth driven primarily by **Zudio store count expansion** across Tier 2/3 cities.
- Same-store sales growth (SSSG) kept conservative to avoid double-counting scale benefits.
- Disciplined rollout cadence with standardized store maturity ramp curves applied.

# WACC & Discount Rate

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## KEY ASSUMPTIONS

- Beta estimated using regression and peers
- Cost of equity market-linked
- Conservative capital structure
- WACC (model): **11.83%**

## METHODOLOGY

### COST OF EQUITY

$$K_e = R_f + \beta \times ERP$$

### WEIGHTED AVERAGE COST OF CAPITAL

$$WACC = K_e \times \frac{E}{D + E} + K_d \times (1 - t) \times \frac{D}{D + E}$$



# Terminal Value Assumption

## Key Assumptions

- Terminal growth aligned with long-term consumption ( $g = 6.0\%$ )
- Margins normalized to reflect steady-state reinvestment needs
- Reflects mature retail economics with stable capital structure

**Note:** The valuation is highly sensitive to terminal assumptions. The base case assumes execution continues to outperform peers.

## Sensitivity Analysis: Fair Value (₹/sh)

Terminal Growth Rate (%) →

| WACC ↓ | 4.0%  | 5.0%  | 6.0%  | 7.0%  | 8.0%  |
|--------|-------|-------|-------|-------|-------|
| 10.83% | 1,285 | 1,420 | 1,620 | 1,850 | 2,150 |
| 11.33% | 1,230 | 1,340 | 1,490 | 1,680 | 1,910 |
| 11.83% | 1,180 | 1,270 | 1,378 | 1,510 | 1,680 |
| 12.33% | 1,135 | 1,210 | 1,280 | 1,385 | 1,510 |
| 12.83% | 1,095 | 1,155 | 1,190 | 1,275 | 1,360 |

Base

Base Case: WACC 11.83%, Terminal Growth 6.0% → ₹1,378

# DCF Valuation Output

## Valuation Bridge

| Metric                     | Amount (₹ Cr) |
|----------------------------|---------------|
| PV of Free Cash Flow (FCF) | 10,519        |
| PV of Terminal Value       | 40,387        |
| Enterprise Value (EV)      | 50,906        |
| Less: Net Debt             | (2,349)       |
| Add: Cash & Investments    | 340           |
| Equity Value               | 48,898        |
| Shares Outstanding (Cr)    | 35.55         |
| Intrinsic Value per Share  | ₹1,375        |
| Current Market Price (CMP) | ₹3,729        |
| Implied Downside           | -63.1%        |

## Sensitivity Analysis (Fair Value ₹)

|                     |      | WACC (%) |       |       |       |       |
|---------------------|------|----------|-------|-------|-------|-------|
|                     |      | 10.8%    | 11.3% | 11.8% | 12.3% | 12.8% |
| Terminal Growth (%) | 4.0% | 1,250    | 1,150 | 1,070 | 1,000 | 940   |
|                     | 5.0% | 1,450    | 1,320 | 1,210 | 1,120 | 1,040 |
|                     | 6.0% | 1,700    | 1,530 | 1,375 | 1,250 | 1,150 |
|                     | 7.0% | 2,100    | 1,850 | 1,650 | 1,480 | 1,350 |
|                     | 8.0% | 2,750    | 2,350 | 2,050 | 1,800 | 1,600 |

Even under optimistic scenarios, intrinsic value remains significantly below CMP (₹3,729).

# Peer Comparison

| Company                       | Format Focus                          | Rev CAGR (3Y) | ROCE % | EV/Sales | EV/EBITDA |
|-------------------------------|---------------------------------------|---------------|--------|----------|-----------|
| Trent Limited                 | Multi-format Value (Zudio + Westside) | 35–40%        | 28–32% | 8.06X    | 22.36X    |
| Avenue Supermarkets (DMart)   | Food & Grocery Hypermarkets           | 20–25%        | 18–20% | 3.75     | 81.77X    |
| Vishal Mega Mart              | Value Fashion & General Merchandise   | 15–18%        | 12–14% | 3.0–3.5x | 30–35x    |
| Aditya Birla Lifestyle Brands | Premium & Mass Apparel                | 8–10%         | 6–8%   | 1.5–2.0x | 14–18x    |
| Vedant Fashions (Manyavar)    | Occasion / Ethnic Wear                | 12–15%        | 22–25% | 8–9x     | 25–30x    |

# Risk and Sensitivities

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## Key Risks

- **Store productivity slowdown:** Rapid expansion may dilute average unit economics in new clusters.
- **Margin pressure:** Rising rental costs and raw material sourcing inflation could compress gross margins.
- **Competitive intensity:** Aggressive pricing from national and regional value fashion players.

## Rating Triggers

### UPGRADE SCENARIOS

- Price correction creating margin of safety
- Better than expected unit economics

### DOWNGRADE SCENARIOS

- Execution slippage in rollout
- Structural margin compression



# Final Recommendation

## Rating: HOLD

### RATIONALE

- Strong business fundamentals driven by Zudio's rapid expansion
- Valuation reflects significant optimism at current levels
- Balanced risk-reward profile with limited margin of safety

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₹3,729

Intrinsic Value (DCF)

₹1,375

Upside/ Downside

-63.1%